1. The Marketing Mix: Price

1.1. Why is price a key part of the marketing mix

- Price is the amount paid by customers
- Its impacts:
  - The demand
  - Degree of value added by the business
  - Influence on revenue and profits earned
  - Reflect on marketing objectives and their success
  - Establish psychological image of the business

1.2. Factors affecting pricing decisions

1. Costs of production
   - A price must cover both variable and fixed costs of a business
2. Competitive conditions
   - Monopoly – more freedom in deciding prices
   - Perfect competition – fix similar prices
3. Competitors prices
   - Difficult to set prices too different from competitors unless true USP is shown
4. Business and marketing objectives
   - Price must reflect all aspects of the marketing mix and should keep in mind the main goals of the business
5. Price elasticity of demand
   - Elastic – low prices
   - Inelastic – increase prices
6. New or existing product
   - New products – price skimming or penetration pricing

1.3. Pricing methods

Cost based pricing

- Mark-up pricing
  - When a percentage of fixed mark-up is added to the cost of the product.
  - The mark-up size depends on the strength of demand, number of substitutes, stage of PLC (Product life cycle), etc.
- Cost-plus pricing
  - It involves setting a price by calculating the unit cost and adding a fixed profit margin.
  - This ensures all costs are met
  - Easy to calculate
  - Suitable for firms with high market shares
  - But, doesn't take into account external factors like economic conditions
  - Inflexible method
- Contribution-cost (or marginal-cost) pricing
  - Prices are set based on the variable costs and a contribution amount for fixed costs and profits is added.
  - Contribution per unit = selling price – variable cost per unit
  - Break even point = fixed costs/ contribution
  - Ensures variable costs are covered
  - Flexible method
  - Fixed costs may not be covered
  - If prices are varied too much, consumers maybe discouraged and business will face menu costs
- Competitive pricing
  - Prices are based on the price set by competitors, analysing them and retailing at similar price point.
  - Scenarios where it is suitable:
    - Following the market leader
    - Avoid a price war
    - Destroyer pricing – force others out of the market
    - Based on study of conditions

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Advantages and Disadvantages of Cost-Based Pricing:

Methods	Benefits	Drawbacks
Cost-plus Pricing	Easy and to calculate by adding a fixed percentage or amount to the cost, causing the process to to take less time to complete.	It doesn't consider competitor prices or customer willingness to pay.
	It ensures that all costs are covered and a profit margin is added.	If costs are high, prices might be set too high, potentially reducing sales.
	It helps in understanding how much each unit contributes to covering fixed costs and profit.	It ignores fixed costs in pricing, which might lead to incomplete financial planning.
Contribution-Cost Pricing	Useful for making decisions like accepting special orders.	It might be misleading if not combined with full cost information for comprehensive decision-making.
Competitive Pricing	Prices are set based on competitors' prices, helping to stay competitive.	Competing solely on price can lower profit margins if prices are set too low.
	It draws customers' attention, specifically those who are looking for better deals compared to competitors.	It doesn't account for the unique value or quality of the product, which can be overlooked in price comparisons.
Mark-Up Pricing	Easy to apply by adding a fixed percentage to the cost of the product.	It doesn't consider customer demand or competitor prices, which can lead to setting the price too high or too low.
	It ensures a consistent profit margin on each product sold.	This can result in pricing that doesn't reflect the actual market value, making this method at times inefficient.

1.4. Loss Leader

- Retailers use the loss leader method by setting very low prices on some products, sometimes below their cost.
- The aim/goal is to attract customers with these low priced items, hoping they will also buy other products that are more profitable.
- The business expects that the extra profit from these other products will cover the losses from the low priced items, resulting in a positive contribution.
- Loss leaders often promote the sale of related/complementary products. For example, selling printers at a low price might lead customers to buy more expensive printer ink.

1.5. Market-oriented pricing

- Psychological pricing
  - Also known as customer-value/perceived-value pricing
  - Prices are set based on the value customers place on the product
  - Used for products with inelastic demand
- Price discrimination
  - It involves charging different prices to different consumer groups for the same product
  - For example, bus or train companies offer lower prices to the elders than they do so to other adults.
  - Another example might be mass transit system such as sky-train offering lower prices during off-rush hours than rush hours.
- Dynamic pricing
  - Dynamic pricing is flexible and based on real-time data. Hence, this pricing method involves the use of flexible prices to reflect changing market conditions.
  - Changing prices, frequently, to respond to changes in demand
  - It is based on demand level and ability of consumers to pay
  - For example, Airlines use dynamic pricing. It depends on the number of seats left, the lower the seats, the higher the prices are usually.

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Advantages and Disadvantages of Market-Oriented Pricing:

Methods	Benefits	Drawbacks
Dynamic Pricing	It adjusts prices based on demand and competition, potentially earning more money.	Frequent price changes can annoy customers who feel they are being charged unfairly, eroding brand perception.
	Quickly adapt to market changes to optimize pricing, ensuring maximum reach to highest possible revenue and profitability.	It requires advanced systems and data analysis, which can be expensive and complicated.
Psychological Pricing	The business use tactics like pricing items at $9.99 instead of 10$ to make them seem cheaper and encourage purchase, boosting sales.	Some customers might feel tricked by these pricing tricks, which can damage trust and erode customer perception of the brand.
	It makes products look like a better deal to customers as it appears cheaper in comparison to similar products.	It may not always boost sales significantly if the product doesn't actually offer good value.
Price Discrimination	It can charge different prices to different groups, increasing overall revenue as well as profit margin from each segment.	This might upset customers who see others paying less for the same product.
	It broadens the market by creating products that are affordable to different income levels, reaching more customers.	Firms Might face legal issues if the pricing is seen as unfair.

1.6. Pricing strategies for new products

1. Penetration pricing
   - Involves selling at a low price to attract more customers
   - Used by firms in the mass market with a aim to capture a large market share
   - Disadvantages of penetration pricing:
     - Penetration pricing is not a sustainable (long-term) pricing strategy as low prices can lead to losses or very low profit margins.
     - If costs rise suddenly due to external factors, the business could find the low prices are no longer a profitable option.
2. Price skimming
   - Setting a high price to differentiate it from competitors
   - Usually for products with inelastic demand (luxury goods)
   - It creates an exclusive image for the product

Benefits and Limitation of Pricing Methods for New Products:

Methods	Benefits	Drawbacks
Penetration Pricing	Low prices initially can draw in customers quickly and build market share.	As initial prices are low, the profit margins are also low.
	Low prices can make it harder for competitors to enter the market.	Raising prices later can be challenging once customers become accustomed to the lower price.
Price Skimming	Starting with high prices help maximize profit from early adopters before lowering them over time.	High initial prices can limit the number of customers who can afford the product.
	It helps to quickly recover development and marketing costs with higher initial prices.	High prices can attract competitors to enter the market with lower-priced alternatives.

1.7. Pricing decisions – some additional issues

1. Level of competition
   - It depends on the type of market
     1. Perfect competition
        - Consumers have complete knowledge
        - All producers are identical products
        - Freedom of entry and exit
        - Equal market share
        - Here, only competitive pricing will work
     2. Monopoly
        - Single seller with 100% market share
        - They are price makers
        - High barriers to entry and exit
     3. Oligopoly
        - **Price wars** to gain market share
        - **Non price competition** – competitive promotional campaigns, product differentiation
        - **Collusion** – it is illegal and may lead to fines and court cases
2. Loss leaders
   - It involves setting relatively low prices for some products, expecting consumers to buy it.
     - They hope, the profits earned from other products will cover the losses for the other product
   - Usually used for complementary goods

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3. Psychological pricing
    - It involves setting prices just below the whole number
    - It even involves using market research to avoid setting prices consumers believe is inappropriate

1.8. Pricing decisions – evaluation

- A firm will not use the same strategy for all products as there are differences in external market conditions
- Prices have a huge influence on consumer purchasing behaviours so market research must be carried out to identify consumers ability to pay before setting prices
- Low price may not always be considered the best strategy. It may even discourage consumers if they believe the product has a lower quality
- Price is only one factor. The complete brand image is more important

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